

Chapter Four

Accounting for Cash

LEARNING OBJECTIVES

After studying this chapter, you should be able to:

1. Define Cash.
2. Distinguish items that are reported as cash.
3. Define fraud and internal control.
4. Identify the principles of internal control activities.
5. Explain the applications of internal control principles to cash receipts and cash disbursements.
6. Describe the operation of a petty cash fund.
7. Indicate the control features of a bank account.
8. Prepare a bank reconciliation.
9. Explain the reporting of cash.

4.1. Introduction- What is Cash?

- ◆ **Cash** is a medium of exchange that a bank will accept at face value and immediate **credit** to the depositors account.
- ◆ An item to be reported as cash it must fulfill the following **criteria's**:
 - 1) It should be used as a medium of exchange, i.e. in settlement of transactions.
 - 2) It should be available immediately for the payment of current obligations.
 - 3) It should be free from any contractual restriction that limits its use in satisfying debts

Items those are included as Cash

- ◆ Coins and Currencies (Paper money)
- ◆ Money on deposit in a bank that can be drawn with out any restriction, i.e. **demand deposits**
- ◆ Negotiable instruments, which are documents that can be transferred from one party to another as money, like **money orders, certified checks** or **CPO's**, checks issued by third parties and are available at **cashiers**, checks written to third parties but not yet issued, **traveler's checks**, etc
- ◆ Saving accounts
- ◆ Petty cash funds
- ◆ Change funds
- ◆ Credit card sales draft

- ◆ Some items, **however**, may initially appear or seem as **Cash**; but do not meet the criteria's.
- ◆ For instance, a check received from a third party, as a payment is not included as cash if the party issuing the check has not sufficient fund in its bank account.
- ◆ Such checks are marked as **NSF (Not Sufficient Fund) checks** and are reported as receivables.
- ◆ Similarly, **Post dated checks**, issued by third parties but that will be drawn only in the future dates, reported as receivables.
- ◆ **Postage Stamps** are items for which cash has been paid and are expected to be used in the future. They represent office supplies (prepaid expense items).

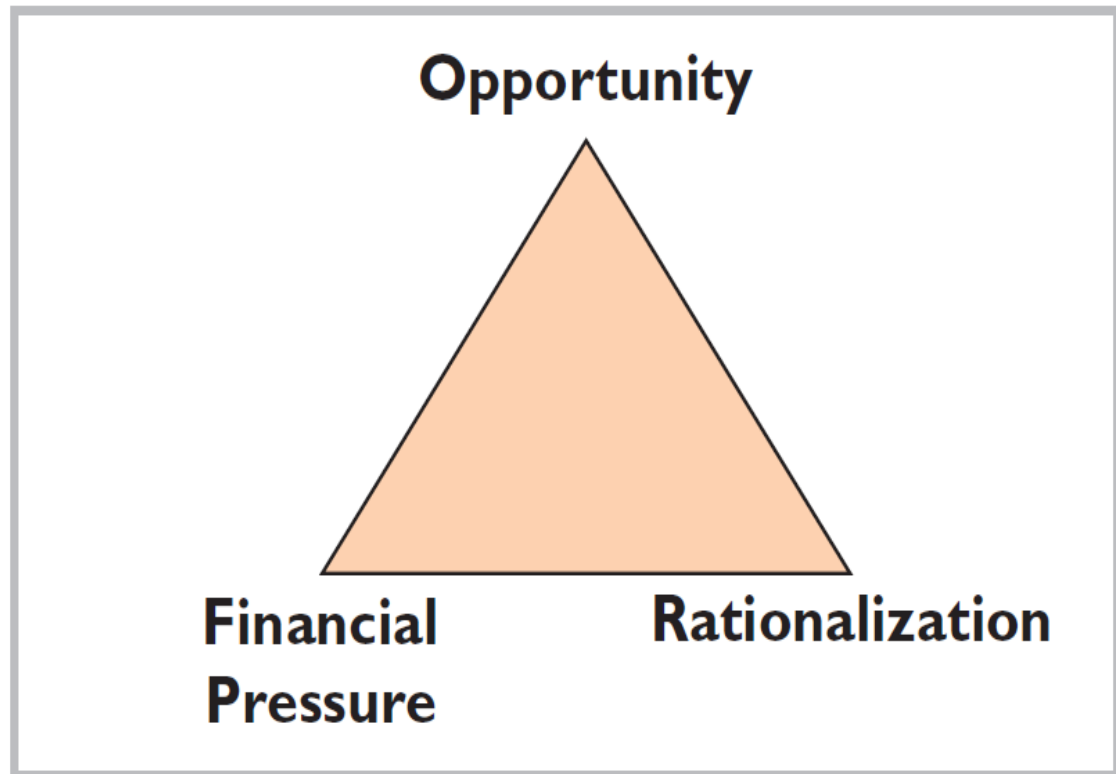
4.2. Fraud & Internal Control

Fraud

Dishonest act by an employee that results in personal benefit to the employee at a cost of the employer.

Three factors that
contribute to
fraudulent activity.

Illustration 7-1
Fraud Triangle



Internal Control

Methods and measures adopted to:

1. Safeguard assets.
2. Enhance accuracy and reliability of accounting records.
3. Increase efficiency of operations.
4. Ensure compliance with laws and regulations.

Question #1

Internal control is used in a business to enhance the accuracy and reliability of its accounting records & to:

- a. safeguard its assets.
- b. prevent fraud.
- c. produce correct financial statements.
- d. deter employee dishonesty.

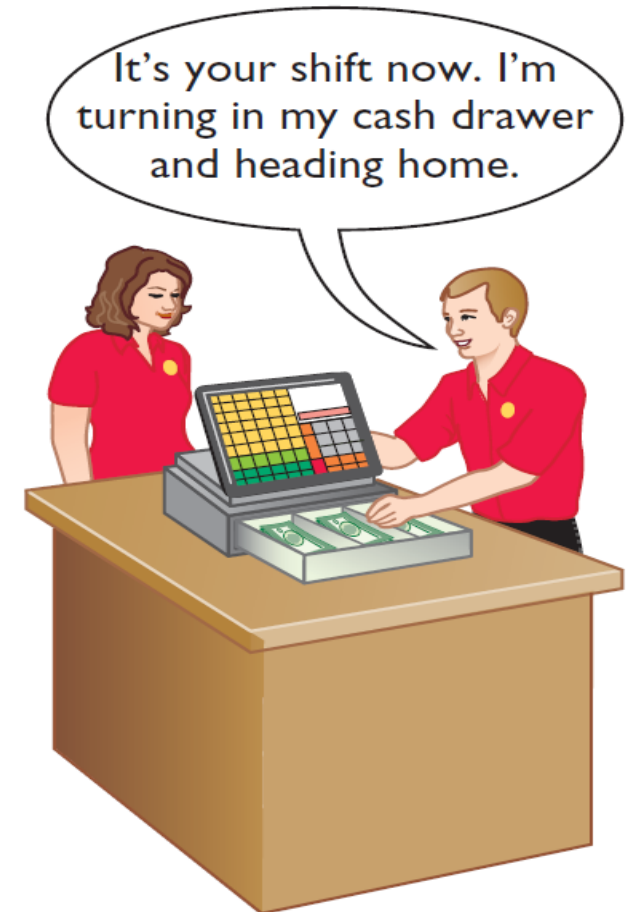
Five Primary Components:

- Control environment.
- Risk assessment.
- Control activities.
- Information and communication.
- Monitoring.

Principles of Internal Control Activities

ESTABLISHMENT OF RESPONSIBILITY

- ◆ Control is most effective when only one person is responsible for a given task.
- ◆ Establishing responsibility often requires limiting access only to authorized personnel, and then identifying those personnel.



Transfer of cash drawers

ANATOMY OF A FRAUD

Maureen Frugali was a training supervisor for claims processing at Colossal Healthcare. As a standard part of the claims processing training program, Maureen created fictitious claims for use by trainees. These fictitious claims were then sent to the accounts payable department. After the training claims had been processed, she was to notify Accounts Payable of all fictitious claims, so that they would not be paid. However, she did not inform Accounts Payable about every fictitious claim. She created some fictitious claims for entities that she controlled (that is, she would receive the payment), and she let Accounts Payable pay her.

Total take: \$11 million

The Missing Control

Establishment of responsibility. The healthcare company did not adequately restrict the responsibility for authorizing and approving claims transactions. The training supervisor should not have been authorized to create claims in the company's "live" system.

SEGREGATION OF DUTIES

- ◆ Different individuals should be responsible for related activities.
- ◆ The responsibility for record-keeping for an asset should be separate from the physical custody of that asset.



Accounting employee A

Maintains cash
balances per books



Segregation of duties
(Accountability for assets)



Assistant cashier B

Maintains custody
of cash on hand

ANATOMY OF A FRAUD

Lawrence Fairbanks, the assistant vice-chancellor of communications at Aesop University, was allowed to make purchases of under \$2,500 for his department without external approval. Unfortunately, he also sometimes bought items for himself, such as expensive antiques and other collectibles. How did he do it? He replaced the vendor invoices he received with fake vendor invoices that he created. The fake invoices had descriptions that were more consistent with the communications department's purchases. He submitted these fake invoices to the accounting department as the basis for their journal entries and to the accounts payable department as the basis for payment.

Total take: \$475,000

The Missing Control

Segregation of duties. The university had not properly segregated related purchasing activities. Lawrence was ordering items, receiving the items, and receiving the invoice. By receiving the invoice, he had control over the documents that were used to account for the purchase and thus was able to substitute a fake invoice.

ANATOMY OF A FRAUD

Angela Bauer was an accounts payable clerk for Aggasiz Construction Company. She prepared and issued checks to vendors and reconciled bank statements. She perpetrated a fraud in this way: She wrote checks for costs that the company had not actually incurred (e.g., fake taxes). A supervisor then approved and signed the checks. Before issuing the check, though, she would “white-out” the payee line on the check and change it to personal accounts that she controlled. She was able to conceal the theft because she also reconciled the bank account. That is, nobody else ever saw that the checks had been altered.

Total take: \$570,000

The Missing Control

Segregation of duties. Aggasiz Construction Company did not properly segregate record-keeping from physical custody. Angela had physical custody of the blank checks, which essentially was control of the cash. She also had record-keeping responsibility because she prepared the bank reconciliation.

DOCUMENTATION PROCEDURES

- ◆ Companies should use prenumbered documents, and all documents should be accounted for.
- ◆ Employees should promptly forward source documents for accounting entries to the accounting department.

No. 0127

No. 0126

No. 0125

No. 0124

No. 0123

CHELSEA VIDEO
125 MAIN STREET
CHELSEA, IL 60915

SOLD TO

Firm Name Highpoint Electronic

Attention of Susan Malone, Sales Representative

Address 27 Circle Drive

Harding MI 48281

City State Zip

Date	Salesperson	Invoice No.	Invoice Date	Approved	Paid
5/8/17	Malone	731	5/4/17		
Catalogue No.	Description	Quantity	Price	Amount	
AS547Z45	Production Model Circuits (Inoperative)	1	300	\$300	

□ □ □

Prenumbered invoices

ANATOMY OF A FRAUD

To support their reimbursement requests for travel costs incurred, employees at Mod Fashions Corporation's design center were required to submit receipts. The receipts could include the detailed bill provided for a meal, or the credit card receipt provided when the credit card payment is made, or a copy of the employee's monthly credit card bill that listed the item. A number of the designers who frequently traveled together came up with a fraud scheme: They submitted claims for the same expenses. For example, if they had a meal together that cost \$200, one person submitted the detailed meal bill, another submitted the credit card receipt, and a third submitted a monthly credit card bill showing the meal as a line item. Thus, all three received a \$200 reimbursement.

Total take: \$75,000

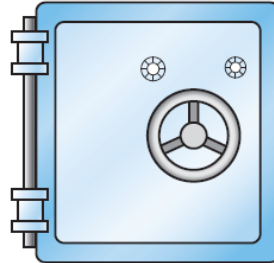
The Missing Control

Documentation procedures. Mod Fashions should require the original, detailed receipt. It should not accept photocopies, and it should not accept credit card statements. In addition, documentation procedures could be further improved by requiring the use of a corporate credit card (rather than a personal credit card) for all business expenses.

PHYSICAL CONTROLS



Television monitors and garment sensors to deter theft



Safes, vaults, and safety deposit boxes for cash and business papers



Alarms to prevent break-ins



Time clocks for recording time worked



Computer facilities with pass key access or fingerprint or eyeball scans

Illustration 7-2
Physical Controls



Locked warehouses and storage cabinets for inventories and records

ANATOMY OF A FRAUD

At Centerstone Health, a large insurance company, the mailroom each day received insurance applications from prospective customers. Mailroom employees scanned the applications into electronic documents before the applications were processed. Once the applications are scanned they can be accessed online by authorized employees. Insurance agents at Centerstone Health earn commissions based upon successful applications. The sales agent's name is listed on the application. However, roughly 15% of the applications are from customers who did not work with a sales agent. Two friends—Alex, an employee in record keeping, and Parviz, a sales agent—thought up a way to perpetrate a fraud. Alex identified scanned applications that did not list a sales agent. After business hours, he entered the mailroom and found the hardcopy applications that did not show a sales agent. He wrote in Parviz's name as the sales agent and then rescanned the application for processing. Parviz received the commission, which the friends then split.

Total take: \$240,000

Total take: \$240,000

The Missing Control

Physical controls. Centerstone Health lacked two basic physical controls that could have prevented this fraud. First, the mailroom should have been locked during nonbusiness hours, and access during business hours should have been tightly controlled. Second, the scanned applications supposedly could be accessed only by authorized employees using their passwords. However, the password for each employee was the same as the employee's user ID. Since employee user-ID numbers were available to all other employees, all employees knew all other employees' passwords. Unauthorized employees could access the scanned applications. Thus, Alex could enter the system using another employee's password and access the scanned applications.

INDEPENDENT INTERNAL VERIFICATION

- ◆ Records periodically verified by an employee who is independent.
- ◆ Discrepancies reported to management.

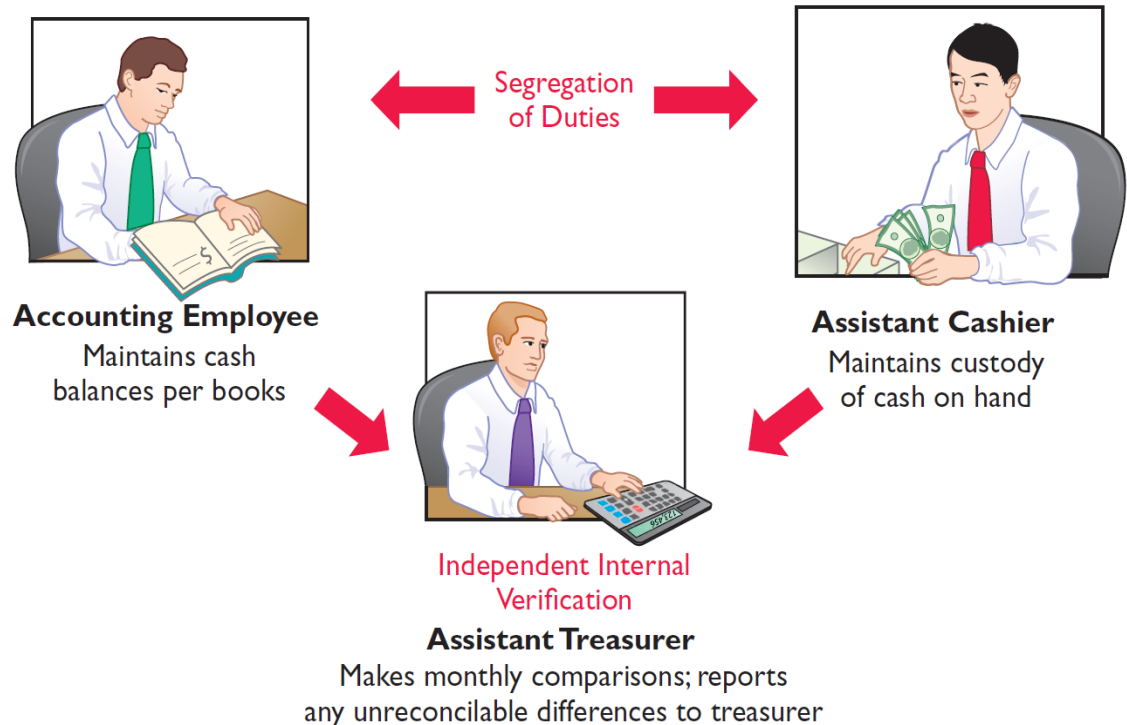


Illustration 7-3

Comparison of segregation of duties principle with independent internal verification principle

ANATOMY OF A FRAUD

Bobbi Jean Donnelly, the office manager for Mod Fashions Corporation's design center, was responsible for preparing the design center budget and reviewing expense reports submitted by design center employees. Her desire to upgrade her wardrobe got the better of her, and she enacted a fraud that involved filing expense-reimbursement requests for her own personal clothing purchases. She was able to conceal the fraud because she was responsible for reviewing all expense reports, including her own. In addition, she sometimes was given ultimate responsibility for signing off on the expense reports when her boss was "too busy." Also, because she controlled the budget, when she submitted her expenses, she coded them to budget items that she knew were running under budget, so that they would not catch anyone's attention.

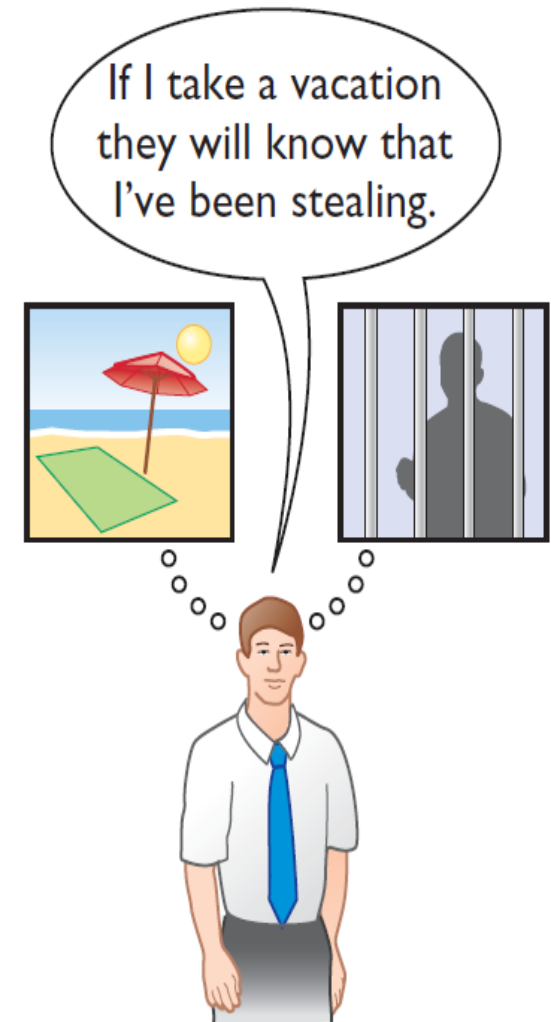
Total take: \$275,000

The Missing Control

Independent internal verification. Bobbi Jean's boss should have verified her expense reports. When asked what he thought her expenses were, the boss said about \$10,000. At \$115,000 per year, her actual expenses were more than ten times what would have been expected. However, because he was "too busy" to verify her expense reports or to review the budget, he never noticed.

HUMAN RESOURCE CONTROLS

- ◆ Bond employees who handle cash.
- ◆ Rotate employees' duties and require vacations.
- ◆ Conduct background checks.



ANATOMY OF A FRAUD

Ellen Lowry was the desk manager and Josephine Rodriguez was the head of housekeeping at the Excelsior Inn, a luxury hotel. The two best friends were so dedicated to their jobs that they never took vacations, and they frequently filled in for other employees. In fact, Ms. Rodriguez, whose job as head of housekeeping did not include cleaning rooms, often cleaned rooms herself, “just to help the staff keep up.” Ellen, the desk manager, provided significant discounts to guests who paid with cash. She kept the cash and did not register the guest in the hotel’s computerized system. Instead, she took the room out of circulation “due to routine maintenance.” Because the room did not show up as being used, it did not receive a normal housekeeping assignment. Instead, Josephine, the head of housekeeping, cleaned the rooms during the guests’ stay.

Total take: \$95,000

The Missing Control

Human resource controls. Ellen, the desk manager, had been fired by a previous employer. If the Excelsior Inn had conducted a background check, it would not have hired her. The fraud was detected when Ellen missed work due to illness. A system of mandatory vacations and rotating days off would have increased the chances of detecting the fraud before it became so large.

Question #2

The principles of internal control do not include:

- a. establishment of responsibility.
- b. documentation procedures.
- c. management responsibility.
- d. independent internal verification.

Limitations of Internal Control

- ◆ Costs should not exceed benefit.
- ◆ Human element.
- ◆ Size of the business.

- **HELPFUL HINT**

Controls may vary with the **risk level of the activity**. For example, management may consider **cash** to be **high risk** and maintaining **inventories** in the stockroom as **lower risk**. Thus, management would have **stricter controls for cash**.



DO IT!

Identify which control activity is **violated** in each of the following situations.

1. The person with primary responsibility for reconciling the bank account and making all bank deposits is also the company's accountant.
2. Wellstone Company's treasurer received an award for distinguished service because he had not taken a vacation in 30 years.
3. In order to save money on order slips and to reduce time spent keeping track of order slips, a local bar/restaurant does not buy prenumbered order slips.

SOLUTION

**Segregation
of duties**

**Human
resource
controls**

**Documentation
procedures**

4.3. Cash Controls

- ◆ Cash is the one asset that is readily convertible into any other type of asset. It also is easily concealed and transported, and is highly desired.
- ◆ Because of these characteristics, cash is the asset most susceptible to fraudulent activities.
- ◆ In addition, because of the large volume of cash transactions, numerous errors may occur in executing and recording them.
- ◆ To safeguard cash and to ensure the accuracy of the accounting records for cash, effective internal control over cash is critical.

Cash Receipt Controls



Establishment of Responsibility

Only designated personnel are authorized to handle cash receipts (cashiers)

Illustration 7-4

Application of Internal Control Principles to Cash Receipts

An illustration of a stack of three blue receipt forms. The top form is labeled 'No. 0123' and 'Beyer Video'. It contains fields for 'Form Name', 'Attention of', 'Address', 'City', 'State', and 'Zip'. Below these fields is a table with columns for 'Date', 'Quantity', 'Description', 'Unit Price', 'Total Price', and 'Amount'. The table has one row of data. The second form in the stack is labeled 'No. 0124' and the third form is labeled 'No. 0125'.

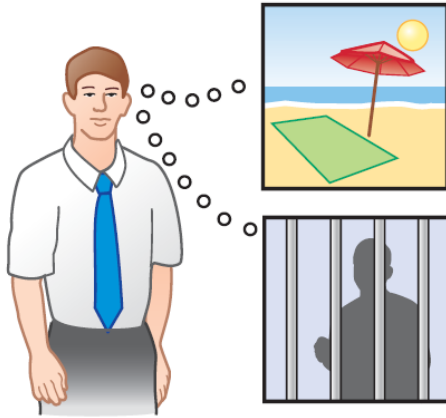
Documentation Procedures

Use remittance advice (mail receipts), cash register tapes or computer records, and deposit slips



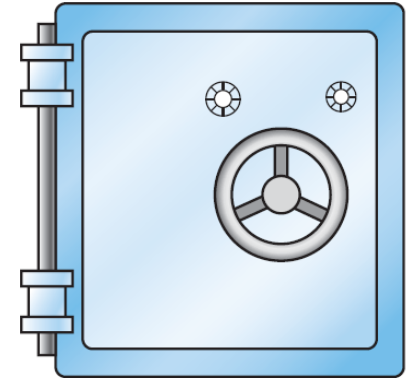
Segregation of Duties

Different individuals receive cash, record cash receipts, and hold the cash



Human Resource Controls

Bond personnel who handle cash; require employees to take vacations; conduct background checks



Physical Controls

Store cash in safes and bank vaults; limit access to storage areas; use cash registers



Independent Internal Verification

Supervisors count cash receipts daily; assistant treasurer compares total receipts to bank deposits daily

Illustration 7-4

Application of Internal Control Principles to Cash Receipts

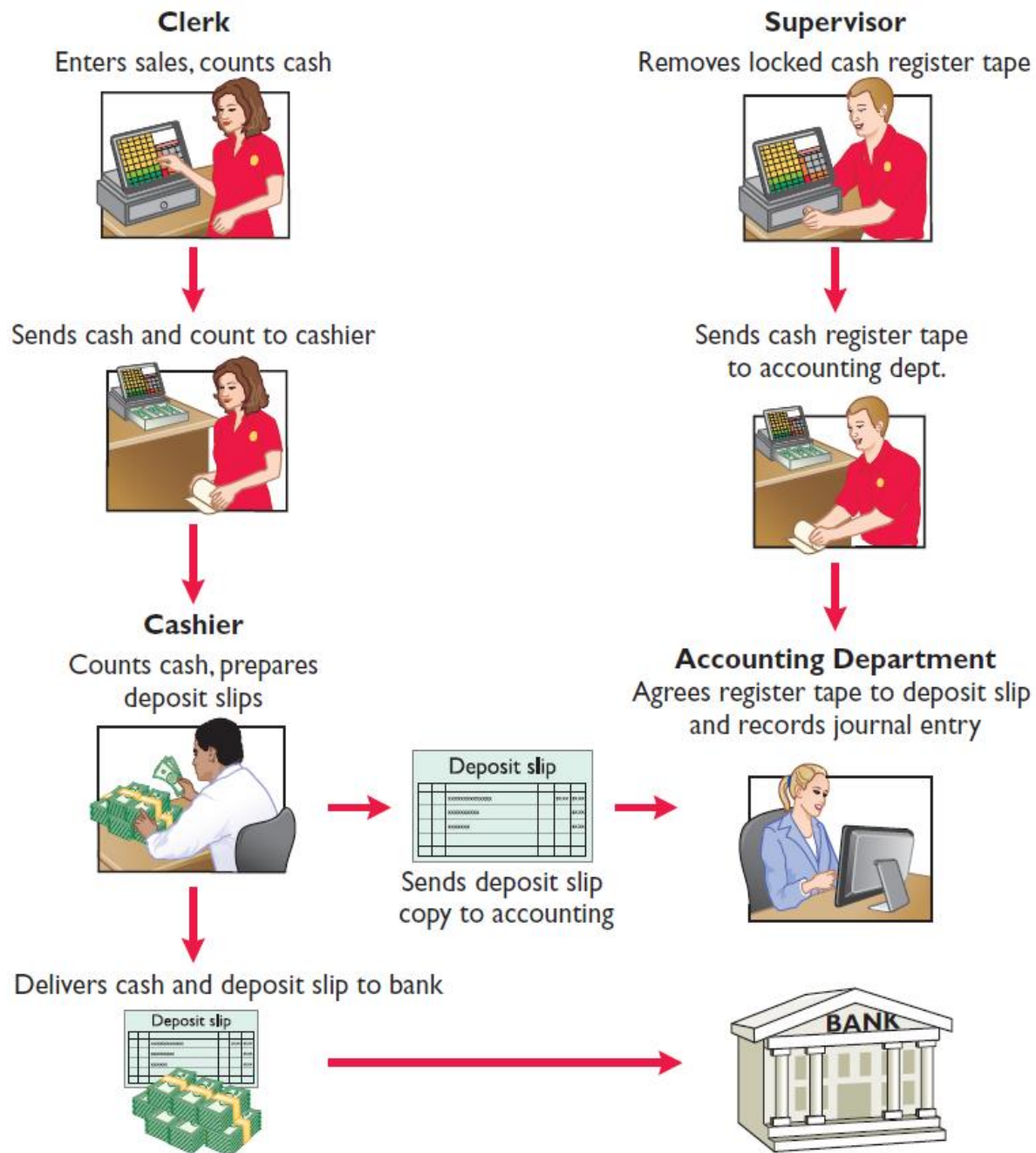
Cash Receipt Controls

OVER-THE-COUNTER RECEIPTS

Important internal control principle—segregation of record-keeping from physical custody.

Illustration 7-5

Control of Over-the Counter Receipts



MAIL RECEIPTS

- ◆ Mail receipts should be opened by **two people**, a list prepared, and each check endorsed "**For Deposit Only.**"
- ◆ Each **mail clerk** signs the list to establish responsibility for the data.
- ◆ **Original copy** of the list, along with the checks, is sent to the cashier's department.
- ◆ **Copy** of the list is sent to the accounting department for recording. Clerks also keep a **copy**.

Question #3

Permitting only designated personnel such as cashiers to handle cash receipts is an application of the principle of:

- a. segregation of duties.
- b. establishment of responsibility.
- c. independent internal verification.
- d. human resource controls.

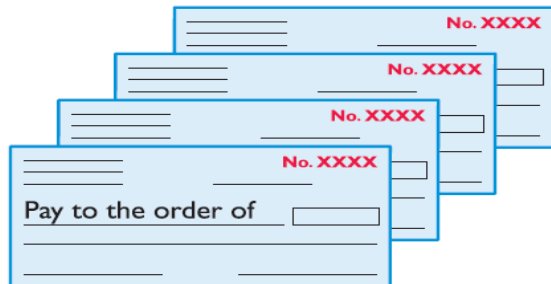
Cash Disbursement Controls

Generally, internal control over cash disbursements is more effective when companies pay by **check** or **electronic funds transfer (EFT)** rather than by cash.

Applications:

- ◆ Voucher System Controls
- ◆ Petty Cash Fund

Cash Disbursement Controls

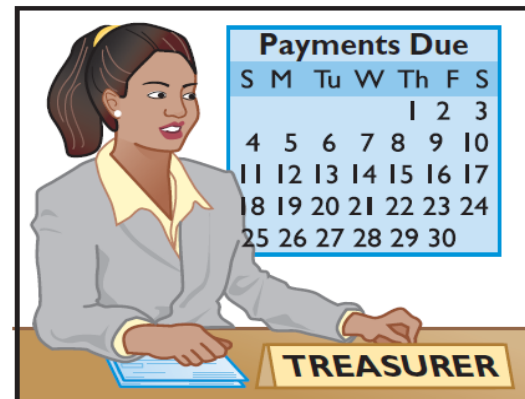


Documentation Procedures

Use prenumbered checks and account for them in sequence; each check must have an approved invoice; require employees to use corporate credit cards for reimbursable expenses; stamp invoices “paid”

Illustration 7-6

Application of Internal Control Principles to Cash Disbursements



Establishment of Responsibility

Only designated personnel are authorized to sign checks (treasurer) and approve vendors



Segregation of Duties

Different individuals approve and make payments; check-signers do not record disbursements

Cash Disbursement Controls

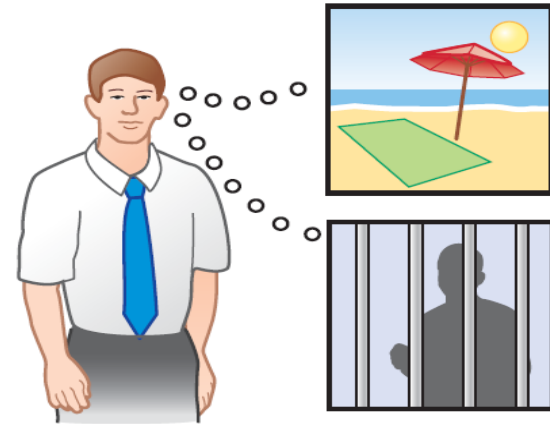


Independent Internal Verification

Compare checks to invoices;
reconcile bank statement
monthly

Illustration 7-6

Application of Internal Control
Principles to Cash Disbursements

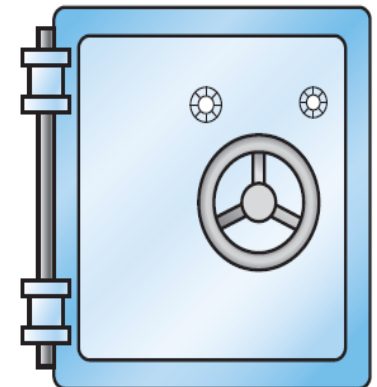


Human Resource Controls

Bond personnel who handle
cash; require employees to
take vacations; conduct
background checks

Physical Controls

Store blank checks
in safes, with limited
access; print check
amounts by machine
in indelible ink



Question #4

The use of prenumbered checks in disbursing cash is an application of the principle of:

- a. establishment of responsibility.
- b. segregation of duties.
- c. physical controls.
- d. documentation procedures.

VOUCHER SYSTEM CONTROLS

- ◆ A network of approvals by authorized individuals, acting independently, to ensure all disbursements by check are proper.
- ◆ A **voucher** is an authorization form prepared for each expenditure in a voucher system.

Petty Cash Fund Controls

Petty Cash Fund - Used to pay small amounts.

Involves:

1. establishing the fund,
2. making payments from the fund, and
3. replenishing the fund.

Establishing the Petty Cash Fund

Illustration: If Zhu Ltd. decides to establish a NT\$3,000 fund on March 1, the journal entry is:

Mar. 1	Petty Cash	3,000	
	Cash		3,000

Making Payments from Petty Cash

- ◆ Management usually limits the size of expenditures.
- ◆ Does not permit use of the fund for certain types of transactions.
- ◆ Payments are documented on a prenumbered receipt.
- ◆ Signatures of both the custodian and the individual receiving payment are required on the receipt.
- ◆ Supporting documents should be attached to the receipt.
- ◆ Custodian keeps the receipts in the petty cash box until the fund is replenished.
- ◆ Sum of the receipts and money in the fund should equal the established total at all times.

Replenishing the Petty Cash Fund

Illustration: Assume that on March 15 Zhu's petty cash custodian requests a check for NT\$2,610. The fund contains NT\$390 cash and petty cash receipts for postage NT\$1,320, freight-out NT\$1,140, and miscellaneous expenses NT\$150. The general journal entry to record the check is:

Mar. 15	Postage Expense	1,320	
	Freight-Out	1,140	
	Miscellaneous Expense	150	
	Cash		2,610

Replenishing the Petty Cash Fund

Illustration: Occasionally, the company may need to recognize a cash shortage or overage. Assume that Zhu's petty cash custodian has only NT\$360 in cash in the fund plus the receipts as listed. The request for reimbursement would, therefore, be for NT\$2,640, and Zhu would make the following entry:

Mar. 15	Postage Expense	1,320	
	Freight-Out	1,140	
	Miscellaneous Expense	150	
	Cash Over and Short	30	
	Cash		2,640



DO IT!

Bateer Company established a R\$50 petty cash fund on July 1. On July 30, the fund had R\$12 cash remaining and petty cash receipts for postage R\$14, office supplies R\$10, and delivery expense R\$15. Prepare journal entries to **establish** the fund on **July 1** and to **replenish** the fund on **July 30**.

July 1	Petty Cash	50	
	Cash		50
July 30	Postage Expense	14	
	Supplies	10	
	Delivery Expense	15	
	Cash Over and Short		1
	Cash (R\$50 – R\$12)		38

4.4. Control Features: Use of a Bank

Contributes to good internal control over cash.

- ◆ Minimizes the amount of currency on hand.
- ◆ Creates a double record of bank transactions.
- ◆ Bank reconciliation.

Making Bank Deposits

Authorized employee should make deposit.

Illustration 7-8
Deposit slip

Bank Code
Numbers

DEPOSIT TICKET			
LAIRD COMPANY plc 77 West Central Avenue Woodbridge, Suffolk, U.K. IP12 1AH			
DATE <u>April 19 2017</u>			
Suffolk Bank plc Woodbridge, Suffolk, U.K. IP12 1AH			
⑆012460497⑆ 457923⑆02 75			
CHECKS AND OTHER ITEMS ARE RECEIVED FOR DEPOSIT SUBJECT TO THE PROVISIONS OF THE UNIFORM COMMERCIAL CODE OR ANY APPLICABLE COLLECTION AGREEMENT			

CASH	CURRENCY		
	COIN	460	00
		2	10
LIST CHECKS SINGLY			
TOTAL FROM OTHER SIDE		1116	80
TOTAL		1578	90
TOTAL FROM OTHER SIDE			
NET DEPOSIT		1578	90

74—102/724

USE OTHER SIDE FOR
ADDITIONAL LISTINGS

BE SURE EACH ITEM IS
PROPERLY ENDORSED

Front Side

Reverse Side

CHECKS	LIST SINGLY	AMOUNT	
1	74 - 331/724	175	40
2	61 - 157/220	292	60
3	19 - 401/710	337	55
4	22 - 815/666	165	72
5	15 - 360/011	145	53
6			
7			
8			
9			
10			
11			
12			
13			
14			
15			
16			
17			
18			
19			
TOTAL		1116	80

ENTER TOTAL ON THE FRONT OF THIS TICKET

Writing Checks

Written order signed by depositor directing bank to pay a specified sum of money to a designated recipient.

Illustration 7-9: Check With Remittance Advice

Maker	→	LAIRD COMPANY plc 77 West Central Avenue Woodbridge, Suffolk, U.K. IP12 1AH	No. 448 <i>April 16 2017</i> 74—102/724
Payee	→	Pay to the order of <i>Watkins Wholesale Supply</i>	£ 1525.00
		<i>Fifteen hundred twenty-five and ⁰⁰/₁₀₀</i> Pounds	
Payer	→	Suffolk Bank plc Woodbridge, Suffolk, U.K. IP12 1AH	<i>W.F. Paine</i>
		Memo _____	
		⑆012410497⑆ 457923102 448	

Bank Statements

Illustration 7-10 Bank Statement

DEBIT MEMORANDUM

- ◆ Bank service charge.
- ◆ NSF (not sufficient funds).

CREDIT MEMORANDUM

- ◆ Collect notes receivable.
- ◆ Interest earned.

Suffolk Bank plc
 Woodbridge, Suffolk, U.K.
 IP12 1AH

ACCOUNT STATEMENT
 LAIRD COMPANY plc
 77 WEST CENTRAL AVENUE
 WOODBRIDGE, SUFFOLK, U.K.
 IP12 1AH

Statement Date/Credit Line Closing Date
 April 30, 2017

457923
 ACCOUNT NUMBER

Balance Last Statement	Deposits and Credits		Checks and Debits		Balance This Statement
	No.	Total Amount	No.	Total Amount	
13,256.90	20	34,805.10	26	32,154.55	15,907.45

CHECKS AND DEBITS			DEPOSITS AND CREDITS		DAILY BALANCE	
Date	No.	Amount	Date	Amount	Date	Amount
4-2	435	644.95	4-2	4,276.85	4-2	16,888.80
4-5	436	3,260.00	4-3	2,137.50	4-3	18,249.65
4-4	437	1,185.79	4-5	1,350.47	4-4	17,063.86
4-3	438	776.65	4-7	982.46	4-5	15,154.33
4-8	439	1,781.70	4-8	1,320.28	4-7	14,648.89
4-7	440	1,487.90	4-9 CM	1,035.00	4-8	11,767.47
4-8	441	2,420.00	4-11	2,720.00	4-9	12,802.47
4-11	442	1,585.60	4-12	757.41	4-11	13,936.87
4-12	443	1,226.00	4-13	1,218.56	4-12	13,468.28
4-29	NSF	425.60	4-27	1,545.57	4-27	13,005.45
4-29	459	1,080.30	4-29	2,929.45	4-29	14,429.00
4-30	DM	30.00	4-30	2,128.60	4-30	15,907.45
4-30	461	620.15				

Symbols: **CM** Credit Memo **EC** Error Correction **NSF** Not Sufficient Funds **Reconcile Your Account Promptly**
DM Debit Memo **INT** Interest Earned **SC** Service Charge

Reconciling the Bank Account

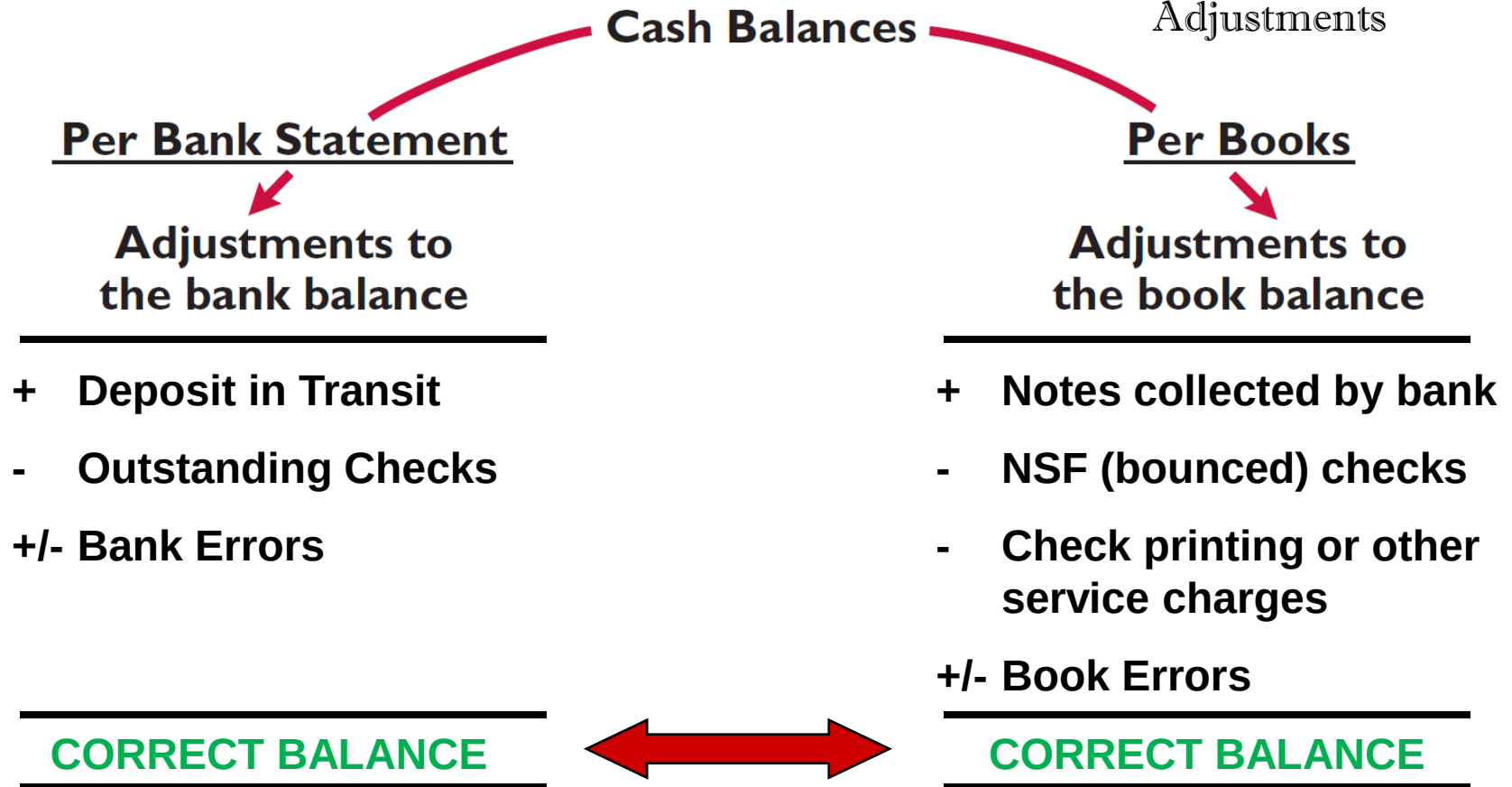
Reconcile **balance per books** and **balance per bank** to their **adjusted (corrected) cash balances**.

Reconciling Items:

1. Deposits in transit.
 2. Outstanding checks.
 3. Bank memoranda.
 4. Errors.
- 
- Time Lags

RECONCILIATION PROCEDURES

Illustration 7-11
Bank Reconciliation
Adjustments



Bank Reconciliation Illustrated

The bank statement for **Laird Company**, in **Illustration 7-10**, shows a balance per bank of **£15,907.45** on April 30, 2017. On this date the balance of cash per books is **£11,589.45**. Using the four reconciliation steps, **Laird** determines the following reconciling items.

Step 1. Deposits In Transit:

April 30 deposit (received by bank on May 1).	£2,201.40
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Step 2. Outstanding Checks: No. 453, £3,000.00; no. 457, £1,401.30; no. 460, £1,502.70.	5,904.00
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Step 3. Errors: Laird wrote check no. 443 for £1,226.00 and the bank correctly paid that amount. However, Laird recorded the check as £1,262.00.	36.00
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Step 4. Bank Memoranda:

a. Credit—Collection of note receivable for £1,000 plus interest earned £50, less bank collection fee £15.00	1,035.00
b. Debit—NSF check from J. R. Baron for £425.60	425.60
c. Debit—Charge for printing company checks £30.00	30.00

Illustration: Prepare A Bank Reconciliation at April 30.

Cash balance per bank statement	£15,907.45
Deposit in transit	2,201.40
Outstanding checks	(5,904.00)
Adjusted cash balance per bank	<u>£12,204.85</u>

Cash balance per books	£11,589.45
Collection of notes receivable	1,035.00
Error in check No. 443	36.00
NSF check	(425.60)
Bank service charge	(30.00)
Adjusted cash balance per books	<u>£12,204.85</u>

Entries from Bank Reconciliation

Collection of Note Receivable: Assuming interest of £50 has not been accrued and collection fee is charged to Miscellaneous Expense, the entry is:

Apr. 30	Cash	1,035.00	
	Miscellaneous Expense	15.00	
	Notes Receivable		1,000.00
	Interest Revenue		50.00

Book Error: The cash disbursements journal shows that check no. 443 was a payment on account to Andrea Company, a supplier. The correcting entry is:

Apr. 30	Cash	36.00	
	Accounts Payable		36.00

NSF Check: As indicated earlier, an NSF check becomes an account receivable to the depositor. The entry is:

Apr. 30	Accounts Receivable	425.60	
	Cash		425.60

Bank Service Charges: Depositors debit check printing charges (DM) and other bank service charges (SC) to Miscellaneous Expense. The entry is:

Apr. 30	Miscellaneous Expense	30.00	
	Cash		30.00

Cash			
Apr. 30 Bal.	11,589.45	Apr. 30	425.60
30	1,035.00	30	30.00
30	36.00		
Apr. 30 Bal.	12,204.85		

Illustration 7-13

Adjusted Balance in Cash Account

Question #5

The reconciling item in a bank reconciliation that will result in an adjusting entry by the depositor is:

- a. Outstanding Checks.
- b. Deposit in Transit.
- c. A Bank Error.
- d. Bank Service Charges.

Electronic Funds Transfer (EFT) System

EFTs

- ◆ Are disbursement systems that use wire, telephone, or computers to transfer cash from one location to another.
- ◆ Use is quite common.
- ◆ Normally result in better internal control since no cash or checks are handled by company employees.



DO IT!

Sally Kist, owner of **Linen Kist Fabrics**, asks you to explain how she should treat the following reconciling items when reconciling the company's bank account: (1) a debit memorandum for an NSF check, (2) a credit memorandum for a note collected by the bank, (3) outstanding checks, and (4) a deposit in transit..

Solution

Sally should treat the reconciling items as follows.

- (1) NSF check: **Deduct from** balance per books.
- (2) Collection of note: **Add to** balance per books.
- (3) Outstanding checks: **Deduct from** balance per bank.
- (4) Deposit in transit: **Add to** balance per bank.

4.5. Reporting Cash

Reporting Cash

- ◆ **Cash** consists of coins, currency, checks, money orders, and money on hand or on deposit.
- ◆ Statement of financial position reports the amount of cash available at a given point in time.
 - ▶ Listed **last** in the current assets section.
 - ▶ Includes cash on hand, cash in banks, and petty cash.
- ◆ Statement of cash flows shows the sources and uses of cash during a period of time.

Cash Equivalents

Cash equivalents are short-term, highly liquid investments that are both:

1. Readily convertible to known amounts of cash, and
2. So near their maturity that their market value is relatively insensitive to changes in interest rates.

Restricted Cash

Cash that is not available for general use but rather is restricted for a special purpose.

Illustration 7-14

Statement of Financial Position Presentation of Cash

LENOVO GROUP		
Statement of Financial Position (partial)		
Current assets (\$ in millions)	2014	2013
Cash and cash equivalents	\$3,858	\$3,454

Question #6

Which of the following statements correctly describes the reporting of cash?

- a. Cash cannot be combined with cash equivalents.
- b. Restricted cash funds may be combined with cash.
- c. Cash is listed last in the current assets section.
- d. Restricted cash funds cannot be reported as a current asset.



DO IT!

Indicate whether each of the following statements is **True** or **False**.

1. Cash and cash equivalents are comprised of coins, currency (paper money), money orders, and NSF checks.
2. Restricted cash is classified as either a current asset or noncurrent asset, depending on the circumstances.
3. A company may have a negative balance in its bank account. In this case, it should offset this negative balance against cash and cash equivalents on the SoFP.
4. Because cash and cash equivalents often includes short-term investments, accounts receivable should be reported as the last item on the SoFP.

The End of Chapter 4

Thank You!!!